

MARKETS

Winning at Half-time

The BSE Midcap and Smallcap soared 14 per cent and 13 per cent, respectively, beating the benchmark Sensex in the first half of 2023

BY RAHUL OBEROI

► **SECOND-RUNG STOCKS** in the domestic equity market returned with a bang in the first half of 2023 after a lull in 2022. Consider this: While the BSE Midcap and Smallcap indices soared nearly 14 per cent and 13 per cent, respectively, on a year-to-date (YTD) basis till June 30, the benchmark BSE Sensex gained a relatively meagre 6 per cent. The per-

STREET TALK

Though experts see the market as a whole doing well, they expect some sectors like manufacturing, banking, real estate and hotels to outperform

formance is even more impressive when compared with last year, when the BSE Smallcap index plunged 1.80 per cent, while the BSE Midcap and Sensex gained 1.38 per cent and 4.44 per cent, respectively.

Buoyed by the current rally, the BSE Midcap, Smallcap, and Sensex also ended the first half (H1) at fresh record closing highs of 28,776.20, 32,602.14, and 64,718.56, respectively. Market watchers believe the recent outperformance in the broader markets will continue and factors such as formalisation and digitalisation of the economy, lower input costs, improved availability of credit, and expanding valuation multiples will support investor sentiment.

D-STREET STARS

Data showed that firms across sectors delivered in H1. With a jump of 66 per cent YTD, Aurobindo Pharma was the top gainer in the mid-cap space, while One97 Communications (Paytm), PB Fintech, KPIT Technologies and Power Finance Corporation surged over 50 per cent. In the large-cap space, ABB India jumped 65 per cent YTD, followed by Cholamandalam Investment and Finance Company (up 58 per cent), Tata Motors (up 53 per cent), Hindustan Aeronautics (up 50 per cent) and ITC (up 36 per cent). However, heavyweights like Reliance Industries (up 0.10 per cent) and IT major Tata Consultancy Services (up 1.27 per cent) saw almost no gains.

Talking about the rally, Apurva Sheth, Head of Market Perspectives and Research at SAMCO Securities, says: "Small- and mid-cap segments should continue to do well going forward mainly because input costs have fallen. We have seen a pick-up in demand. Interest rates are close to the peak. As a result of these factors, several stocks from these segments have delivered all-time high sales and profit numbers in the March quarter. This should continue in the

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